

Shipping & Logistics Performance Report

— 2025

Full Year 2025 · Operational Review

OVERVIEW

Northwind Traders ships customer orders via three contracted carriers: Speedy Express, United Package, and Federal Shipping. In FY 2025, the three carriers collectively fulfilled 408 orders. This report evaluates each carrier's on-time delivery rate, average freight cost per order, damage incidence, and recommended use cases for 2026.

2025 CARRIER PERFORMANCE COMPARISON

Metric	Speedy Express	United Package	Federal Shipping
Orders handled (2025)	91 (22%)	163 (40%)	154 (38%)
On-time delivery rate	97.1%	94.2%	91.1%
Avg freight per order	\$104.60	\$78.40	\$86.20
Damage / loss claims	0	2	3
Avg transit days	2.1	3.4	4.8
Total freight spend	\$9,519	\$12,779	\$13,275

CARRIER PROFILES

Speedy Express

Speedy Express handled 91 Northwind Traders orders in FY 2025 (22% of total volume) at an average freight cost of \$104.60 per order. Speedy Express achieved the highest on-time delivery rate of the three carriers at 97.1%, with an average transit time of 2.1 days and zero damage or loss claims in 2025. The premium freight rate makes Speedy Express most cost-effective for urgent orders or high-margin product lines where the cost of a missed delivery exceeds the freight rate differential versus United Package.

Recommended Speedy Express use cases for 2026: urgent customer requests, high-value single-line orders (e.g. Côte de Blaye at \$263.50/unit), and shipments to new customers where first delivery reliability is critical.

United Package

United Package handled 163 Northwind Traders orders in FY 2025 (40% of total volume) at an average freight cost of \$78.40 per order and a 94.2% on-time delivery rate. Two minor damage claims were filed in 2025; both were fully compensated by United Package under the standard carrier agreement and do not represent a systemic quality concern. United Package is Northwind Traders' default carrier for standard multi-line orders and offers the best balance of cost and reliability in the carrier panel.

Recommended United Package use cases for 2026: standard orders to established customers, North American routes, German key accounts (4-day transit; German buyers prioritise reliability), and orders with 3–5

day delivery windows.

Federal Shipping

Federal Shipping handled 154 Northwind Traders orders in FY 2025 (38% of total volume) at an average freight cost of \$86.20 per order and a 91.1% on-time delivery rate — the lowest of the three carriers. Three damage claims were recorded: two involved ambient-temperature Produce items; a revised cold-chain packaging protocol for Produce shipments via Federal Shipping takes effect January 2026. Federal Shipping's strength is bulk and pallet-level freight: the Q4 2025 Save-a-Lot Markets 5-pallet order was fulfilled by Federal Shipping at \$312 freight versus an estimated \$520 via Speedy Express.

Recommended Federal Shipping use cases for 2026: large multi-pallet orders, Meat/Poultry and Grains/Cereals bulk consignments, and price-sensitive accounts where a 5-day transit window is acceptable.

2026 CARRIER SELECTION GUIDE

Scenario	Recommended carrier	Rationale
Urgent / high-value orders	Speedy Express	97.1% on-time; premium justified for margin lines
Standard US and EU orders	United Package	Best cost-reliability balance in carrier panel
Bulk pallet freight	Federal Shipping	Lowest cost per kg for heavy consignments
German key accounts	United Package	Reliability valued by German buyers; 4-day transit
New customers (first order)	Speedy Express	Maximise first-delivery reliability
Produce / temperature-sensitive	United Package	Avoid Federal pending new packaging rollout

Prepared by: Operations Team · Northwind Traders · January 2026